



Division of Labour

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Division of Labour

Core Definition

The division of labour is the process of splitting the production process into different stages or tasks, with each worker or group responsible for a specific task.

Specialisation: This allows workers to concentrate on one task and become significantly more skilled and efficient in that area.



Historical Development & Impact

- **18th & 19th Century Theories:** Economists developed foundational theories on how cost differences driven by specialisation led to international trade.
- **Adam Smith's Example:** Adam Smith famously used the **pin-making factory** example to demonstrate how task specialisation exponentially increases overall production efficiency.



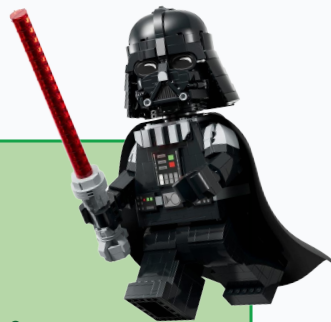
Specialisation and Division of Labour

✓ Advantages

- Higher Output → ↑ Trade, ↑ Growth
- Wider range of Goods & Services
- Greater Allocative efficiency
- Higher productivity through better use of workers
- Quality Improvements

✓ Advantages

- Workers become highly productive
- Specialist capital for workers
- Lower prices, higher quality & choice for consumers



✗ Disadvantages

- Finite resources
- Changes in Fashions/Tastes
- De-industrialisation
- Risk to National independence

✗ Disadvantages

- Workers demotivated
- High worker turnover
- Risk of long-term unemployment
- Highly standardised goods & services

Division of Labour in LEGO

1. Specialised Roles & Departments

Processes in LEGO factories are a form of division of labour because different employees, departments, and facilities specialize in particular stages rather than one worker producing an entire LEGO set.

2. Efficiency & Mass Scale

Specialisation allows labour and machinery to become highly efficient at specific tasks, increasing productivity and enabling LEGO to produce standardised components on a very large scale.

3. Structural Interdependence

However, this specialization also creates interdependence because each stage relies on the successful completion of previous stages.



Division of Labour in Lego



Design — Conceptualising set themes and piece architecture



Moulding — High-precision plastic element injection



Decoration — Printing facial features & custom graphics



Assembly — Pre-fitting sub-components & figures



Packing — Sorting into numbered bags & boxing



Distribution — Logistics & global retail delivery



Types of Division of Labour



Function

Based on different business functions or tasks



Time

Based on different shifts or time periods



Product

Based on different products produced



Customer & Market

Based on different customer groups or markets served



Location

Based on different geographical locations



Process

Based on different stages of the production process



Projects

Based on different projects with dedicated teams assigned



Organisational Impact

Specialisation enables organizations to optimize resources, streamline workflow efficiency, and scale productivity across operations.
STRATEGIC VALUE

Division of Labour by Function

Organizational Structure

Major Business Areas

LEGO describes its core operations across primary functional divisions:

1. Product & Marketing Development
2. Digital Technology
3. Operations
4. Markets & Channels
5. People, Places & Culture
6. CFO Organization



Case Study: Nyíregyháza Factory

Specialized Operations in Manufacturing

Performs moulding, decoration, assembly, packing, and warehousing.

⚡ 1,000+ Injection-Moulding Machines

📦 73 Packaging Lines (post-2025 expansion)



Core Principle

Instead of everyone doing everything, people specialize according to the **function they perform**.

“Even after LEGO has divided its organization into functions, labour is divided again within Operations. Different activities in the production process are specialized.”

Division of Labour by Location

Region-Based Network

LEGO describes its setup as a **region-based supply-chain network**, positioning factories and distribution centres close to major markets.

Agility & Sustainability

This regionalized network enables LEGO to **respond rapidly to shifts in demand** while significantly reducing transportation impacts.

Manufacturing Sites Across Regions

EUROPE

Denmark

Primary hub & moulding center

EUROPE

Hungary

Granulate heating & brick production

EUROPE

Czechia

Packing & distribution facility

AMERICAS

Mexico

Servicing the Americas regional market

ASIA

China

Regional Asian supply network hub

ASIA

Vietnam

Expanded regional manufacturing



LEGO Manufacturing Statistics



230°C – 310°C

Hungary Factory Granulate Heating

Lego's factory in Hungary heats plastic granulate to extreme temperatures, producing millions of LEGO bricks each week.



~10 Seconds

Ultra-High Precision Moulding

Moulding machines produce elements in roughly 10 seconds with a precision within 1/10th the width of a human hair.



83 Machines

Minifigure Assembly & Decoration

Specialist machines execute complex processing operations to assemble and decorate minifigures and elements.



18,000 / year

Billund Mould Maintenance

LEGO's dedicated Billund mould-maintenance department carries out approximately 18,000 mould repairs annually.

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Thank
You!

